IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA(CAA)/19(CHE)2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement*

of

LAKSHMI MACHINE WORKS LIMITED
A Company incorporated under the Companies Act, 1956,
having its registered office at
SRK Vidyalaya Post, Perianaickenpalayam,
Coimbatore, Tamil Nadu - 641 020.
Represented by its Authorised Signatory, Sri. C R Shivkumaran

..... *First Applicant Company / Transferor Company*

LMW AEROSPACE INDUSTRIES LIMITED
A Company incorporated under the Companies Act, 2013,
having its registered office at
SRK Vidyalaya Post, Perianaickenpalayam,
Coimbatore, Tamil Nadu 641 020.
Represented by its Authorised Signatory, Smt. B Dhanalakshmi
Regd Office: 54, Brindavan Road,

..... *Second Applicant Company / Transferee Company*

AND

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on ***13th July 2022.***

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Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Pawan Jhabakh, Advocate

ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

This is an Application filed by jointly the Applicant Companies, namely **Lakshmi Machine Works Limited** *(hereinafter referred to as the "First Applicant/Transferor Company")* and **LMW Aerospace Industries Limited** *(hereinafter referred to as the "Second Applicant/Transferee Company"),* filed under sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the NCLT, Rules, 2016, in relation to the Scheme of Arrangement (hereinafter referred to as the "Scheme" (annexed as 'Annexure I' in the accompanying Typed Set of Documents), by virtue of which the ATC Business Undertaking of the Transferor Company shall be transferred to the Transferee Company, by way of a slump sale, as a going concern (as specified in 'Part B' of the said Scheme).

2. The above Applicant Companies through this Joint Company Application have prayed for the following reliefs:

> a. *With respect to the Transferor Company, it is prayed for directions for the convening, conducting and holding of the meeting of its Equity Shareholders and its Unsecured Creditors and further seeks directions to dispense with the holding of the meeting of its Secured Creditors;*

b. *With Respect to the Transferee Company, it is prayed for the dispensation of the meetings of their Equity Shareholders, Secured Creditors and Unsecured Creditors;*

c. *It is also prayed that Notices may be directed to be issued to the Registrar of Companies, Chennai, The Regional Director, Ministry of Corporate Affairs and the relevant Income Tax Department;*

3. The affidavit in support of the above Application has been duly sworn and has been filed along with the Joint Application. The Registered offices of the Applicant Companies are situated within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of the Registrar of Companies, Coimbatore.

4. **LAKSHMI MACHINE WORKS LIMITED (FIRST APPLICANT/TRANSFEROR COMPANY)**

(i) The Transferor Company has 33,398 Equity Shareholders as on 30th September, 2021, and the list of shareholders to this effect is annexed as *'Annexure L'* in the accompanying Typed Set of Documents, and have accordingly sought for the directions to convene, conduct and hold the meeting of the equity shareholders.

(ii) The Transferor Company has Nil Secured Creditors. The Certificate issued by the Chartered Accountant reflecting the same is annexed as *'Annexure O'* in the accompanying Typed Set of Documents. Therefore, based on the above, no prayers have been made for any directions with respect to the Creditors.

(iii) The Transferor Company has 6605 Unsecured Creditors, as on 30th September, 2021. The Certificate issued by the Chartered Accountant reflecting the same is annexed as *'Annexure O'* in the accompanying Typed Set of Documents and have sought for directions to convene, conduct and hold the meeting of the Unsecured creditors.

5. **LMW AEROSPACE INDUSTRIES LIMITED (SECOND APPLICANT/TRANSFEREE COMPANY)**

(i) The Transferee Company has 7 Equity Shareholders and the list of shareholders to this effect is placed and annexed as *'Annexure M'* in the accompanying Typed Set of Documents and the corresponding consent affidavits given by all the shareholders is placed at is annexed as *'Annexure N'* in the accompanying Typed Set of Documents, and the Transferee Company have accordingly sought for the dispensation of the meeting of the equity shareholders.

(ii) The Transferee Company has NIL Secured and Unsecured Creditors, as on 30th September, 2021. The Certificate issued by the Chartered Accountant reflecting the same is placed is annexed as *'Annexure P'* in the accompanying Typed Set of Documents. Therefore, based on the above, no prayers have been made for any directions with respect to the Creditors.

6. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

7. From the certificate of incorporation filed by the Transferor Company, it is a company incorporated under the Companies Act, 1956, on the 14th of September, 1962. The Authorized Share Capital of the Transferor Company is Rs. 50,00,00,000/-, consisting of 6,00,00,000 Equity Shares of Rs. 10/- each. The issued subscribed and paid-up capital of the demerged Company is Rs. 10,68,30,000/- consisting of 1,06,83,000 Equity shares of Rs. 10/- each. The registered Office of the Transferor Company is at SRK Vidyalaya Post, Perianaickenpalayam, Coimbatore, Tamil Nadu – 641 020.

8. From the certificate of incorporation filed by the Transferee Company, it is a company incorporated under the Companies Act, 2013, on the 16th of March, 2021. The Authorized Share Capital of the Transferee Company is Rs.2,50,00,000/-, consisting of 25,00,000 Equity Shares of Rs. 10/- each. The issued subscribed and paid-up capital of the Transferee Company is Rs.2,50,00,000/-, consisting of 25,00,000 Equity Shares of Rs. 10/- each. The registered Office of the Transferee Company is at SRK Vidyalaya Post, Perianaickenpalayam, Coimbatore, Tamil Nadu – 641 020.

9. The Applicant Companies have filed their Memorandum and Articles of Association *inter alia* delineating its objects clauses as well their last available Audited Annual Accounts for the year ended 31.03.2021. The Board of Directors of the Applicant Companies have through their meetings dated 24th May, 2021, respectively, have unanimously approved the proposed Scheme as contemplated herein and the copies of the resolutions have been placed on record.

10. The Appointed date as specified in the Scheme shall be 1st April, 2022.

11. The Statutory Auditors of the Applicant Companies have examined the Scheme in terms of provisions of Section 232 of the Companies Act, 2013 and the rules made thereunder and have certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The said certificates of the statutory Auditors in this regard is placed as *'Annexure K1'* (with respect to the Transferor Company) and *'Annexure K2'* (with respect to the Transferee Company), in the accompanying Typed Set of Documents.

12. Taking into consideration the Applications of the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal issued the following directions: -

A. IN RELATION TO THE TRANSFEROR COMPANY

(i) **With respect to the Equity shareholders:**

Meeting of the Equity Shareholders of the Transferor Company is directed to be held on the **02.09.2022**, at **9:05 AM** at "Nani Kalai Arangam", Mani Higher Secondary School, Pappanaickenpalayam, Coimbatore – 641037, or through video conferencing or any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this Order and prior to the issue of notices.

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferor Company that there is NIL Secured Creditor in the Company, hence the necessity of convening, holding and conducting a meeting *does not arise.*

(iii) **With respect to the Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferor Company is directed to be held on the **02.09.2022**, at **2:00 PM** at "Nani Kalai Arangam", Mani Higher Secondary School, Pappanaickenpalayam, Coimbatore – 641037, or through video conferencing or any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this Order and prior to the issue of notices.

B. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to the Equity shareholders:**

Since it is represented by the Transferee Company that there are seven (7) Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with***.

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferee Company that there is NIL Secured Creditor in the Company, hence the necessity of convening, holding and conducting a meeting *does not arise.*

(iii) **With respect to the Unsecured Creditors:**

Since it is represented by the Transferee Company that there is NIL Unsecured Creditor in the Company, hence the necessity of convening, holding and conducting a meeting *does not arise.*

13. The quorum for the meeting of the Transferor Company shall be as follows;

S. No	CLASS	QUORUM
1	EQUITY SHAREHOLDERS	30
2	UNSECURED CREDITORS	30

i) The Chairperson appointed for the above said meetings shall be **Mr. K. Soundhar Rajhan** *the Director of Operations at the Transferor Company.* The Chairperson

shall file the respective reports of the meeting within a period of 7 days from the date of holding the said meeting.

ii) **M/s. MDS & Associates**, Coimbatore, are appointed as the Scrutinizer for the meeting.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted either by physical means or by video or audio-visual means enabled with e-voting as per the procedure prescribed under the MCA General circulars dated 08.04.202, 13.04.2020 and 05.05.2020

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance

before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Business Line*" (All India Edition), and "*Dinamalar*" *Tamil* (Tamil Nadu Edition) and in "*Navbharat Times*", *Hindi* (All India Edition), stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) Voting shall be allowed on the proposed Scheme by voting in person. The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai, and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the

operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

14. The Applications stand **allowed** on the aforesaid terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S. RAMATHILAGAM
MEMBER (JUDICIAL)

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